Dear clients,

- **BTC's surge to new highs rests on solid structural factors:** Solid onchain metrics (tempered MVRV, high long-term holder dominance, shrinking exchange balances, controlled derivatives leverage, and rising global M2) indicate that this is a structural, not speculative rally.
- **Global M2 growth has historically led Bitcoin by ~110 days with high correlations across most windows**, suggesting fresh liquidity steadily migrates into crypto. Expanding money supply lowers cash yields and encourages "reach-for-beta" behavior, while bitcoin tends to capture a disproportionate share of that flow. That said, we advise treating M2 as a **directional gauge** rather than a precise forecasting tool.
- **The breakout of ETH has been the big story of the last two weeks, with corporate treasury accumulation surging.** ETH has established itself as one of the preferred assets to express a view on the theme of stablecoins and tokenization, with around 10 ETH-dedicated corporate treasury vehicles having accumulated around 733k ETH ($2.5B) YTD, based on our own assessment.
- **Meanwhile, we see more hedge funds utilizing the ETH "basis trade"**, as evidenced by a $1.83B build-up in leveraged funds' short ETH future positions on the CME and $2.27B in net spot ETH ETF inflows MTD. This trade yields an estimated 8% annually, with an additional 3% from staking if funds opt for spot ETH over ETH ETFs.
- **In a historic "Crypto Week", the US House of Representatives yesterday approved the Digital Asset Market Clarity (CLARITY) Act** – i.e. the crypto market structure bill – which now advances to the Senate. The House also approved the GENIUS Act (stablecoin bill), which means this now moves on to the President for his signature.
- **Our Q3 report, Charting Crypto: Tailwinds Take Shape**, is now live. In this report, we highlight the trends that matter most, including the unstoppable growth of stablecoins, the attractiveness of building onchain, the surge in ETH ETF inflows, and more.
- **Staking ETFs offer onchain yield within a regulated brokerage structure**, providing liquidity and easy access to staking, with performance highly dependent on the ETF's design and competitive pricing. We just published a new report discussing these topics and more titled **Market Intelligence: Staking ETFs - Providing Liquid Altcoin Yield**.

Read full report

Best,
The Coinbase Institutional Team

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